SINGAPORE UNIVERSITY OF SOCIAL SCIENCES

MKT202

Proctored Online Exam - January Semester 2025

Marketing Management

Wednesday, 16 April 2025 **10:00 am - 12:00 pm**

Time allowed: 2 hours

INSTRUCTIONS TO STUDENTS:

1. This examination contains TWO questions.
2. Answer all parts of each question in the corresponding answer box.
3. All answers must be typed in the answer box and submitted in Examena.
4. This is an Open Book examination.
5. To prevent plagiarism and collusion, your submission will be reviewed by Turnitin. The Turnitin report will only be made available to the marker and you will not be able to view it.
6. The University takes plagiarism and collusion seriously, and your Turnitin report will be examined thoroughly as part of the marking process.

At the end of the examination.
To end the examination, please click on the "Submit and end exam" button to submit your answers.

THE UNIVERSITY RESERVES THE RIGHT NOT TO MARK YOUR SCRIPT IF YOU FAIL TO FOLLOW THESE INSTRUCTIONS.

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(Full marks: 100)

Section A (100 marks)
Answer all questions in this section.

Question 1

Meet the brothers behind O+, a family-owned eyewear brand from Singapore

In 1985, Singaporean entrepreneur David Hwang embarked on a journey in the eyewear industry, fueled by frustrations over ill-fitting and unattractive glasses. Almost 40 years later, his sons, Silas Hwang and Shamus Hwang. 36 and 33 respectively, are taking their father's vision to new heights as co-founders of O+ Eyewear Designer, which has three branches.

In April this year, the duo launched Bespo+ke service at their flagship boutique at Star Vista, allowing customers to design their eyewear with the guidance of in-house consultants. With this service, customers can actively engage in the creative process – choosing everything from shape and pattern to color and even the most minute details such as the rivets on the glasses. This customization results in 23 million possible combinations.

The consultation, which lasts from 30 minutes to 1.5 hours, starts at $949 for comprehensive measurements, with extra charges for premium materials. Precise head measurements are also taken to reduce temple pressure and adjust the curvature of the frame for a more comfortable and personalized fit. Once the design is complete, the eyewear is crafted in a Shenzhen factory that could take up to 12 weeks.

Having been immersed in the business for many years, the brothers have observed how consumers' perceptions of eyewear have evolved. Eyewear has shifted from merely being functional tools to a form of personal expression. "Glasses are no longer just for clear vision, but are personal pieces that reflect one's individuality and style. There is also a heightened awareness of the importance of fit and comfort, leading to a demand for lightweight materials and precise craftsmanship," says Mr Silas Hwang.

Technological advances have allowed O+ to innovate at an impressive pace. The introduction of 3D printing has transformed the brand's prototyping process, allowing it to bring intricate designs to life and make real-time adjustments. This approach accelerates innovation, and ensures that each design is precise before it moves into production.

Since introducing the Bespo+ke line, personalised eyewear has grown to account for about 10% of their overall sales, says Mr Hwang. There are two main group opting for this service, those whose face sizes do not fit standard ranges and those who seek frames that express their personalities. The demand is especially strong among consumers in their 20s to 30s, who are drawn to sustainability materials and craftsmanship of each

piece.

Looking ahead, the brothers anticipate that while customisable eyewear will eventually become a standard offering across the industry, truly individualised frames will remain a niche market.

(adapted for academic purposes from: https://cnaluxury.channelnewsasia.com/people/o-plus-eyewear-singapore-optical-shop-246196)

Question 1a

Discuss ***one (1)*** trend each from sociocultural and technological environmental factors that could impact the sales of the Bespo+ke service offered by O+ Eyewear Designer.

(18 marks)

Question 1b

Describe ***two (2)*** possible customer personas who would go to O+ Eyewear Designer to make a pair of Bespo+ke eyewear.

(16 marks)

Question 1c

Identify the pricing objective adopted by O+ Eyewear Designer and differentiate between the two pricing methods, economic-value-to-customer pricing and target rate of return pricing. Draw a conclusion on which pricing method is more suitable for their Bespo+ke eyewear service.

(16 marks)

Question 2

These Singapore techpreneurs are combating climate change one bean-free cuppa at a time

What happens when a food tech venture capitalist and a flavours scientist, both coffee connoisseurs meet? Berber and Tan started Prefer, a sustainable bio-flavours start-up, offering an audacious product such as bean-less coffee in November 2022.

Prefer produces fresh coffee grounds and bottled cold brew coffee in decaf or caffeinated (using tea-derived caffeine) versions by upcycling old Gardenia bread, soybean pulp from Mr Bean, and spent barley grains from local breweries such as The 1925 Brewing Co. and Brewerkz. The ingredients are blended and fermented before being roasted in an oven for aroma and flavour.

Tan explains: “We ferment these ingredients using food-grade, non-genetically modified microbes through a process similar to brewing beer or kombucha. We modified beer tanks and optimised them for our processes, which allows us to control the quality and safety of our products. We can potentially replicate a range of coffee profiles from Ethiopian to Colombian beans.”

More arabica than robusta in taste, the coffee has a distinct savoury edge that was pleasant in a fizzy drink like an espresso tonic served at Dough cafe but overpowered in an oat milk latte. The 48-hour manufacturing process is much shorter than the average of five years for coffee plants to bear fruit.

Currently, Prefer produces about 50kg a month of coffee in its laboratory at the Food Tech Innovation Centre at a biomedical research and development centre in Buona Vista. Prefer rolled out its products in September 2023, is now searching for a manufacturing facility to expand production capabilities and service customers throughout Southeast Asia, starting with Manila this year.

According to Our World in Data, the coffee crop has the sixth highest carbon footprint globally at 29kg of carbon dioxide emissions per kilogramme, trailing just behind beef, lamb, cheese, and chocolate production. Due to climate change, 50 per cent of the land where coffee is grown today will not be able to do so in the next couple of decades. Concurrently, coffee demand is expected to triple, especially in countries such as China and India, where the younger generations see drinking coffee as being cool and hip.

Operating on a B2B model, Prefer’s coffee is currently served in 30 outlets (as of January 2025) around Singapore, such as Dough, Foreword Coffee Roasters and The Providore. Berber says their unique selling proposition is being “a more affordable or similarly priced” supplier compared to other competitors and the product’s ease of use. Prefer’s technology is scalable with readily available ingredients and accessible equipment. Companies can easily use Prefer coffee because the grounds are compatible with existing coffee-making machines, and cafes will not incur additional costs when they switch to Prefer.

While it doesn’t taste precisely like coffee, the founders are not shying away from feedback. Tan says that Prefer is best enjoyed as a cappuccino, latte, or cocktail, adding that “improving the formula is an ongoing process, and we’re currently experimenting

with different ingredients and microbes".

(Adapted for academic purposes from: https://www.thepeakmagazine.com.sg/gourmet-travel/prefer-bean-free-coffee/ and https://www.prefer.coffee/)

Question 2a

(i) Propose a suitable frame of reference / potential competitor for Prefer Coffee. (4 marks)
(ii) Analyse ***one (1)*** point-of-parity (POP) and ***one (1)*** point-of-difference (POP) for Prefer Coffee. (8 marks)
(iii) Develop a positioning statement that Prefer Coffee can adopt. (4 marks)

(16 marks)

Question 2b

Illustrate ***one (1)*** corporate social responsibility (CSR) action that Prefer Coffee has already undertaken and suggest ***one (1)*** new community-based CSR initiative that it can implement.

(12 marks)

Question 2c

As bean-free coffee is still relatively new in the market, propose a marketing communication campaign for Prefer Coffee by examining ***two (2)*** digital communication tools that can build awareness and persuade more customers to try their coffee at various cafes. A creative approach with a message appeal should be included in your answer.
You should select the most suitable and effective digital tools / formats among the following: online communication, social media, mobile communication, and word-of-mouth. Do bear in mind that Prefer is a small company and cost would be a consideration.

(22 marks)

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